

## THE IMPORTANCE AND FEATURES OF ANTI-CRISIS MANAGEMENT FOR THE NON-PROFIT AND COMMERCIAL SECTORS

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### RESUME

In today's reality, management has increasingly turned into anti-crisis management. Both public and private sector organizations are constantly faced with unpredictable challenges, therefore, the new reality requires quick decisions, flexible strategies and the presence of managers who are ready for any unexpected changes. Organizations whose managers can timely identify threats and act with alternative plans achieve success.

The emergence of a crisis can be due to a number of different factors, such as natural disasters, economic, political, social or technological factors. The diverse nature, scale and consequences of crises make them unique, which places special demands on management.

The article presents the functions of a manager through the prism of anti-crisis management. The universality of a crisis manager is revealed when we consider his functions in the commercial and non-commercial sectors. Despite sectoral differences, the basis of effective anti-crisis management is still universal. The article notes the critical importance of a manager's flexibility, communication and quick response.

Thus, a modern crisis manager must have strategic management skills, analytical thinking, proactivity, communication, and the ability to adapt to new environments. His main task is to form a flexible system that can not only overcome the crisis, but also solve strategic problems in both the commercial and non-commercial sectors.

This article discusses the importance and characteristics of anti-crisis management in commercial and non-commercial organizations.

**Keywords:** anti-crisis management, state, non-profit sector, commercial sector, management decisions, types of crisis.

### MAIN TEXT

In modern organizations, anti-crisis management is no longer just a response mechanism to crises, but has transformed into a comprehensive management system that combines strategic analysis, the ability to make optimal decisions and their effective implementation. **Given the strategic importance of crisis management**, the manager formulates his own vision and prepares the organization for strategic challenges, ensures the use of operational tools and minimizes damage. The implementation of this approach makes it possible for both state institutions and private sector organizations to function effectively in a modern dynamic and globalized environment.

**In non-commercial (state) sector**, anti-crisis management is primarily aimed at protecting the security and stability of society. In a crisis situation, the state is the institution responsible for ensuring the social well-being of the population. For example, during an economic crisis, the government should implement anti-crisis economic policies, such as subsidies, tax breaks, or social assistance programs. In the case of a political crisis, it is important to maintain democratic processes and legal stability. Another

feature of state management is that the decision-making process often depends on regulations established by law and multi-level bureaucratic mechanisms. This environment somewhat hinders rapid response, although it provides legitimacy and public trust in decisions.

**In the commercial (private) sector**, the main priority is financial sustainability and business continuity. For private organizations, a crisis can manifest itself in a decrease in market demand, increased competition, resource shortages, or reputational threats. In such conditions, the main task of management is to quickly find optimal solutions that ensure the survival of the company and maintain competitiveness. The specificity of the private sector is its efficiency and flexibility, which means that managers need less time for bureaucratic procedures and are more free to introduce innovative approaches. Accordingly, private organizations are often faster at reorganizing, offering new products, or introducing technologies.

In general, **the role of professional managers** is crucial for both sectors. In anti-crisis management, the ability to analyze, evaluate and make decisions is especially valuable. A professional manager must possess both **strategic vision and operational action technologies**. In the public sector, this means taking into account the legal and social consequences of the crisis, and in the private sector - correctly assessing the financial and market effects.

**Adaptability is especially important:** a universal principle is generally to have pre-developed, yet flexible and regularly updated crisis plans. These plans should not be an unchanging dogma, but rather, for the manager, they should be a kind of “guideline scheme”, which will allow him to adapt to unique conditions. He should be able to predict risks, prevent them, conduct **strategic analysis, identify external and internal threats and plan strategically**.

One of the most important problems of modern management is the development, adoption and implementation of management decisions, which determine the main instrument of management influence. The mentioned problem has not only academic, but also serious practical and applied significance, which proportionally increases in the context of the complexity of organizational and economic situations, as well as management tasks. It is worth noting the fact that one of the main features of the scientific study of decision-making is its interdisciplinary nature, which combines various fields of scientific knowledge. The need for decision-making arises at all stages of the management process and is related to all segments and aspects of its activities. The decision-making process reflects the real problems, relationships and connections existing in the organization, and their continuous sequence characterizes the continuity of the management process.

Decision-making in both cases (both in the public and private sectors) is a conscious choice between various alternatives, although their priorities are somewhat different: in public organizations, the main goal is to protect social stability and public interests, while in private organizations - to maintain profits and strengthen market positions. The role of technology in modern anti-crisis management is increasingly growing. Innovative systems such as data analytics, risk management software, and digital communication platforms are equally important for both the public and private sectors.

To successfully implement management decisions, a manager must go through several stages of the decision-making process.

The main task at the **first stage** is to precisely define the goal. Any decision-making process begins with the realization of its necessity.

The **second stage** involves posing a question of choice, which helps to fulfill three important tasks: it shows the connection between the need for a decision and a choice; it determines the direction for searching for alternatives; and it eliminates alternatives that are not related to the set goal.

In the **third stage**, the manager differentiates the criteria according to their importance to the organization. The criteria have different values: some represent mandatory constraints, while others specify desired characteristics. To make an effective decision, it is necessary to divide the criteria into strict constraints and desired characteristics, followed by ranking the desired criteria.

The **fourth stage** involves the development of alternatives.

The **fifth stage** is used to compare the developed alternatives. To make a competent decision, it is necessary to process the alternatives, compare them and select the optimal option. In conditions of insufficient data, it is impossible to compare the alternatives with each other. The collected information allows us to measure the level of satisfaction of each criterion. Data collection is a planned process.

The **sixth stage** should determine the level of risk that the organization will take if it chooses a specific alternative.

The **seventh stage** involves assessing the risk associated with the decision being made. Considering risk is important, but not sufficient. Determining its significance is essential. Factors considered in the risk assessment process include both assumptions and real data.

At the **eighth stage**, a decision is made. Quantitative indicators of the level of risk contribute to making a reasoned decision. Based on these data, a comparative analysis of the effectiveness of alternatives is carried out. It is worth noting that the indicators of the level of risk are not interconnected in such a way that there is a universal formula for their comparison. [1]

Management decisions are characterized by a complex nature, since their implementation covers not one, but a whole range of tasks. The organizational form of decision-making depends on the competence of the manager, the level of qualification of employees, the nature of the tasks, resources and other factors.

It is worth noting that certain personal characteristics of managers are also reflected in the nature of decisions. In this context, balanced, impulsive, inert, risky, and cautious decisions are distinguished.

In a market economy, the effective functioning of an organization requires two main components: **functioning and development**. Functioning ensures the maintenance of the organization's core activities and qualitative stability, while development, by adopting new qualities, increases its viability in a changing environment. The interrelationship of these two processes creates a cyclical development model, the natural consequence of which is various kinds of crises.

Crisis situations disrupt the effectiveness of existing plans and require the use of non-standard solutions. Their positive outcome depends on the knowledge of decision-makers and external environmental factors. The main characteristics of a crisis are uncertainty and danger, which threaten the sustainable development of the organization and society. Crises are not only negative, but also provide changes, reveal unused opportunities and create a "window of opportunity" for institutional reorganization and modernization.

Let us analyze **the manifestation of a crisis in the process of state governance**: a crisis is a transitional period characterized by the inadequacy of the means to achieve the goal, the lack of predictability, and the aggravation of contradictions in the system. It poses a threat to the viability of both the organization and the socio-economic system of the country. Historically, crises have often been associated with disasters, both natural and human, although their occurrence always has a well-founded reason. A crisis can be viewed as a stage in the development of a system aimed at eliminating tension, instability, and shortcomings. [2]

According to the existing classification, crises are divided into:

General – concerns the entire socio-economic system;

Local – concerns a specific subsystem or organization.

Depending on the severity of the problem, crises are divided into macro and micro crises: a macro crisis affects the entire socio-economic environment, while a micro crisis affects specific organizations or entities, although it can spread to the entire system through a domino effect.

The classification of crises includes:

- Economic – challenges in the economy of a country or enterprise;
- Social – conflicts between different social groups or professional categories;
- Organizational – problems of distribution of functions, change of administrative structure and regulation;
- Psychological – stressful state of individuals or groups;

- Technological – problems arising in the process of introducing new technologies;
- Natural – disasters and natural phenomena that affect socio-economic processes. [3]

**Due to structural and functional similarities, the public and private sectors use similar approaches to crisis management, regardless of their specific goals. In both cases, the main principles are:** timely diagnosis of the problem, analysis of events, optimization of solutions, effective mobilization of resources and monitoring of results. In the public sector, crisis management focuses on maintaining social goods and socio-economic stability, while the private sector focuses on ensuring organizational efficiency, financial sustainability and competitiveness. Despite some differences, both sectors rely on a structured approach, increasing predictability and systematization of management processes.

### DEVELOPING AN ECONOMIC STRATEGY FOR AN ORGANIZATION IN CRISIS

For an organization in crisis, the development of an economic strategy is a crucial process that determines its ability to function further. The main components of an economic strategy are: cost optimization, reduction of unproductive activities, more efficient allocation of financial resources, and search for new sources of income. It is also important to assess the possibilities of reorganization and the introduction of innovative technologies. In crisis conditions, an enterprise must rely on flexibility and rapid response in order to be able to adapt to the changing market environment.

A crisis strategy should not be focused solely on short-term survival. Its ultimate goal is to achieve long-term sustainability, which requires the formation of a strategic vision, the correct allocation of investments, and the strengthening of the company's competitiveness.

Economic crises often represent a systemic threat that affects not only the financial sector, but also the overall social stability. That is why state regulation in crisis situations is considered a necessary mechanism aimed at minimizing economic damage and creating a basis for future development.

**The role of the state in the anti-crisis management system** is multifaceted. First of all, it ensures the maintenance of macroeconomic stability through fiscal and monetary policy. During a financial crisis, the government uses budgetary incentives, tax breaks, or direct subsidies to simplify the functioning of businesses and reduce social losses from unemployment. In parallel, the National Bank implements monetary policy - increasing the availability of credit or stabilizing the exchange rate. An important task of the state in times of crisis is also to strengthen social policy: reducing unemployment, supporting vulnerable groups, and ensuring public welfare. Thus, the government acts as a guarantor of economic stabilization and social security. [3]

The role of a crisis manager has grown significantly in recent years due to global events taking place in the world. In the early years (early 21st century), a crisis manager was more focused on post-facto actions, which meant reacting to and correcting the situation after undesirable events have occurred. In the modern world, a crisis manager should be focused on analyzing events, predicting and preventing threats. Global disasters such as pandemics and large-scale hostilities in different parts of the world in recent years have made the **existence of a strong crisis manager inevitable**. Thus, the change of times has led not only to the need for the development of technologies, but also to the need for good managers. Many state and private organizations have had to restructure due to the crisis. [4]

In addition, the mentioned global disasters confirm that in the conditions of the modern world, a crisis in one country is no longer just an event of local importance, for example, a crisis caused by a war situation in one region can lead to disruption of the entire logistics chain and stop the production of vital products in another country. Frequent political conflicts lead to energy resource crises throughout the world, therefore a crisis manager must think on a large scale, regardless of the locality of his organization.

Professor Arien Boyne (Leiden University, Netherlands), an expert in the field of international crisis leadership and government crisis management, notes in his work "Pandemic Management - Politics in the Context of Megacrisis" that modern crises are longer and psychologically exhausting. Accordingly, we

must also take into account the psychological aspects of the crisis. Even the aforementioned pandemic, war situations or economic crises are not events that are completed in one or two months. Accordingly, the crisis manager's obligation is to create an environment that can withstand long-term difficulties. The modern crisis manager is a strong figure and a strategic leader. [5]

The role of a strong manager is clearly defined for both the non-profit and commercial sectors.

A manager who initially achieved success in the non-commercial (government) sector has the ability to also successfully operate in the commercial sector (and vice versa). This is confirmed by practice, for example:

**Michael Bloomberg, former mayor of New York City (2002-2013) and later a prominent businessman.** After a successful career as mayor of the city, he also achieved great success in private business. His name is also found on the Forbes list of successful entrepreneurs.

**Gerhard Schröder - German lawyer and politician, Chancellor of Germany from 1998 to 2005.** After high-ranking government positions, Schröder moved to private energy companies, where he also held senior management positions.

**José Manuel Barroso - Portuguese statesman and politician, Prime Minister of Portugal (2002-2004), President of the European Commission (2004-2014).** After his success in the public sector, he became a prominent figure in the private financial sector.

**Kakha Bendukidze - was the State Minister of Economic Reforms of Georgia (2004-2007).** He implemented important liberal reforms in Georgia. After completing his work in the state sector, he moved into private business, and also achieved significant success in the educational field, founding a private university that today bears his name.

**A prominent public figure, Ray Dalio** started his career in the private sector and is the founder of the world's largest hedge fund, Bridgewater Associates. He is a legendary investor and his "fundamental principles" approach is recognized in the business world. He has also had a significant impact on public policy, as he has had a strategic dialogue with the Chinese leadership on economic issues. He was also an advisor to the US Treasury Department and the Federal Reserve System during the financial crisis (2008) and the COVID-19 pandemic (2019-2021). The analytical risk management tools developed by his company (such as the "Depression Index") have been used to determine policy. Ray Dalio has developed his principle of "risk parity", which, as he explains, "is about balancing risk." This means that an investment portfolio should be built around assets that are not correlated with each other and that take into account periods of economic growth as well as inflation. As a result, we will always have assets in our portfolio that will bring us positive returns, regardless of the economic cycle. [6]

Also interesting is the example of American entrepreneur and political leader **Margaret Whitman**. She also started her career in the private sector and was the president and CEO of eBay. Margaret Whitman transformed the organization from a small company into a global organization. She also worked at Hasbro, Procter & Gamble, and Disney. After success in the commercial sector, she moved to the public sector and was a candidate for governor of California in 2010, and from 2017 to 2022 she was the US ambassador to Kenya, which is already a high-ranking state position. Her transition from the private sector to politics and then to the diplomatic service demonstrates the versatility of her **managerial skills**.

**Foreign experience** confirms that the role of the state in crisis management is crucial. For example, during the 2008 global financial crisis, the US adopted the "Troubled Asset Relief Program" (TARP), within the framework of which the government supported banks and large companies. European countries widely used "anti-crisis fiscal packages", which helped stimulate both business and strengthen social protection for the population. In Asian countries, in particular, Japan and South Korea, the state placed significant emphasis on investing in innovative technologies, which became the basis for the rapid recovery of their economies after the crisis. [7]

Therefore, state regulation of economic crisis situations is a complex system that combines fiscal, monetary and social policies. The effectiveness of the government in anti-crisis management determines

not only the short-term stabilization of the economy, but also its long-term sustainable development. Foreign experience shows that successful anti-crisis policy is based on flexibility, systematicity and innovative approaches. Crises can be predictable or unexpected. Predictable crises develop gradually, as a result of the accumulation of objective reasons, for example, due to the restructuring of production or scientific and technical progress. Unexpected crises are less predictable, although the state and private sectors use rapid response strategies to manage them, which include flexibility of decisions, risk assessment and resource allocation. In the long term, crises not only pose a threat, but also contribute to innovative changes, the emergence of opportunities and the modernization of systems. The public and private sectors, through common crisis management strategies, ensure the sustainability of systems, manage change and stabilize the socio-economic environment. [8;9]

Thus, although non-profit and commercial organizations operate with different objectives, the common goal of anti-crisis management remains - minimizing the consequences of the crisis, maintaining systemic stability and ensuring future development. The difference is only in the emphasis: for state institutions, the priority is public welfare and stability, while for the private sector - financial efficiency and competitiveness.

### CONCLUSION

The main principles of crisis management are universal. The differences lie in the scale, resources, and specific risks that each organization faces. Accordingly, although non-profit and commercial (public and private) organizations differ in their mission and context, their crisis management systems have many important things in common. The modern world is changing dynamically, and the risk of crises is increasing, which leads to the emergence of new challenges for both the public and private sectors. management is no longer considered just a short-term response measure – it has become a strategic tool that ensures stability, sustainability, and development. For the non-profit (government) sector, crisis management primarily serves to protect social stability, citizen safety, and public interests.

In the commercial (private) sector, the main emphasis is on maintaining financial sustainability and competitiveness. Despite the different goals, in both cases analytical thinking, the ability to make managerial decisions, and the effective use of modern technologies play a decisive role.

In fact, the results of every crisis are reflected in the development process of the state and society. Anti-crisis management is not only a response, but also a development mechanism. Its successful implementation implies both the qualification of professional managers and the flexibility of organizational culture and management systems. Despite the different emphases between the state and the private sector, the common goal remains unchanged - minimizing the consequences of the crisis and creating strategies that ensure sustainable development in the future.

In conclusion, we note that the fundamental principles of anti-crisis management and crisis management are universal for both the nonprofit and commercial sectors.

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## ანტიკრიზისული მენეჯმენტის მნიშვნელობა და თავისებურებები არაკომერციული და კომერციული სექტორისთვის

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### რეზიუმე

დღევანდელ რეალობაში მენეჯმენტი სულ უფრო მეტად გადაიქცა ფაქტობრივად ანტიკრიზისულ მენეჯმენტად. როგორც საჯარო, ისე კერძო სექტორის ორგანიზაციები მუდმივად ხვდებიან არაპროგნოზირებად გამოწვევებს, შესაბამისად, ახალი რეალობა მოითხოვს სწრაფ გადაწყვეტილებებს, მოქნილ სტრატეგიებს და ისეთი მენეჯერების არსებობას, რომლებიც მზად არიან ნებისმიერი მოულოდნელი ცვლილებებისთვის. წარმატებას აღწევენ ის ორგანიზაციები, რომელთა მენეჯერებსაც შეუძლიათ დროულად დაინახონ საფრთხეები და იმოქმედონ ალტერნატიული გეგმებით.

კრიზისის წარმოშობა შეიძლება განპირობებული იყოს არაერთი განსხვავებული ფაქტორით, ისეთით, როგორიცაა ბუნებრივი კატასტროფა, ეკონომიკური, პოლიტიკური, სოციალური ან ტექნოლოგიური ფაქტორები. კრიზისების მრავალფეროვანი ხასიათი, მასშტაბი და შედეგები მათ უნიკალურს ხდის, რაც მენეჯმენტის მიმართ განსაკუთრებულ მოთხოვნებს იწვევს.

წარმოჩენილია მენეჯერის ფუნქციები ანტიკრიზისული მენეჯმენტის პრიზმაში. კრიზის-მენეჯერის უნივერსალურობა ვლინდება მაშინ, როდესაც ვიხილავთ მის ფუნქციებს კომერციულ და არაკომერციულ სექტორში. მიუხედავად სექტორული განსხვავებებისა, ეფექტური ანტიკრიზისული მენეჯმენტის საფუძველი მაინც უნივერსალურია. აღნიშნულია მენეჯერის მოქნილობის, კომუნიკაციის და სწრაფი რეაგირების კრიტიკული მნიშვნელობა.

ამრიგად, თანამედროვე კრიზის-მენეჯერს უნდა გააჩნდეს სტრატეგიული მართვის უნარები, ანალიტიკური აზროვნება, პროაქტიულობა, კომუნიკაცია და ახალ გარემოში ადაპტაციის უნარი. მისი მთავარი ამოცანაა ჩამოაყალიბოს ისეთი მოქნილი სისტემა, რომელიც შეძლებს არა მხოლოდ გადალახოს კრიზისი, არამედ გადაჭრას სტრატეგიული ამოცანები როგორც კომერციულ, ასევე არაკომერციულ სექტორში.

განხილულია ანტიკრიზისული მენეჯმენტის მიშვნელობა და თავისებურებები კომერციული და არაკომერციული სფეროს ორგანიზაციებში.

**საკვანძო სიტყვები:** ანტიკრიზისული მენეჯმენტი, სახელმწიფო, არაკომერციული სექტორი, კომერციული სექტორი, მმართველობითი გადაწყვეტილებები, კრიზისის სახეობები.